

The Ultimate Trader's Cheat Sheet

EMA, VWAP, Volume, RSI, and MACD — every key reference in one place.

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This cheat sheet provides the standard settings, signal interpretations, and confluence rules for the indicators used most frequently in active trading. These tools do not predict the future — they provide context for price action. Used correctly and in combination with each other, they significantly improve the quality of trading decisions. Used in isolation, they are noise.

MOVING AVERAGES

Standard Settings and Signal Interpretation

8 EMA: short-term momentum filter — is price in upward momentum or not. 20 EMA: medium-term trend and first pullback target in uptrending stocks. 50 SMA: intermediate-term trend support and resistance, swing trade filter. 200 SMA: long-term trend direction and major support/resistance. Price above all four moving averages = strongly bullish environment. Price below all four = strongly bearish environment.

VWAP

Volume Weighted Average Price — Daily Reset

VWAP calculates the average price of all transactions weighted by volume, resetting at the start of each trading session. Price above VWAP = buyers in control on average for the day. Price below VWAP = sellers in control. VWAP acts as a magnet for price throughout the day — stocks that move far from it tend to revert back. Institutional traders use VWAP as a benchmark for execution quality, which is why it functions as such a consistent intraday support and resistance level.

RSI — 14-PERIOD

Relative Strength Index Interpretation

RSI measures the speed and magnitude of recent price changes on a scale of 0 to 100. Above 70 = overbought zone — use caution, not a sell signal in isolation; strong trends can remain overbought for extended periods. Below 30 = oversold zone — watch for reversal signals, but do not buy just because RSI is low. RSI divergence is the most powerful RSI signal: price makes a new high but RSI makes a lower high — momentum is weakening before the price shows it.

MACD — SETTINGS 12, 26, 9

Moving Average Convergence Divergence Interpretation

MACD measures the relationship between two exponential moving averages and plots the difference along with a signal line and histogram. MACD line crossing above the signal line = bullish momentum shift. MACD line crossing below the signal line = bearish momentum shift. Histogram bars growing larger = momentum accelerating in the current direction. Histogram bars shrinking = momentum fading — possible reversal approaching.

INDICATOR	STANDARD SETTING	BULLISH SIGNAL	BEARISH SIGNAL	BIGGEST MISTAKE
8 EMA	8-period exponential	Price bounces off 8 EMA upward	Price rejected by 8 EMA downward	Treating a touch of 8 EMA as an automatic buy regardless of trend
20 EMA	20-period exponential	Pullback holds 20 EMA — trend intact	Stock loses 20 EMA on close	Buying every 20 EMA touch in a downtrending stock
50 SMA	50-period simple	Stock reclaims 50 SMA on volume	Stock loses 50 SMA on volume	Treating 50 SMA as support when the overall trend is bearish
200 SMA	200-period simple	Price holds above 200 SMA	Price breaks below 200 SMA	Ignoring the 200 SMA as a major long-term inflection level
VWAP	Daily, automatic reset	Price holds above VWAP after test	Price rejected at VWAP on upside attempt	Buying below VWAP in a clearly downtrending stock
RSI	14-period, standard	Oversold reading + reversal candle	Overbought reading + reversal candle	Selling a stock just because RSI is above 70 in a strong uptrend
MACD	12, 26, 9	MACD line crosses above signal line	MACD line crosses below signal line	Using MACD crossovers as entry signals without confirming price action
Volume	Compare to 20-day average	High RVOL on up move or breakout	High RVOL on down move or breakdown	Trusting any breakout or breakdown that occurs on below-average volume

INDICATOR CONFLUENCE — HIGH-PROBABILITY SIGNAL COMBINATIONS

MARKET SITUATION	INDICATORS ALIGNING	WHAT IT MEANS	TRADE IMPLICATION
Strong bullish setup	Price above all EMAs + above VWAP + MACD bullish + high RVOL	Multiple timeframes and momentum indicators agree	High-conviction long — look for entry on first pullback
Potential long entry	Price at 20 EMA + at VWAP + RSI oversold + volume contracting on dip	Multiple support levels coinciding with momentum reset	Strong pullback entry in an uptrend with tight stop below levels
Exhaustion warning	Price at resistance + RSI overbought + MACD histogram shrinking + volume declining	Momentum failing at a key level	Take partial profits — trail stop on remaining position
Strong bearish setup	Price below all EMAs + below VWAP + MACD bearish + high RVOL on sell-off	Multiple timeframes and momentum indicators agree	Avoid longs — look for short entries on bounces to VWAP
Breakout confirmation	Price breaks key level + RVOL 2x+ average + MACD bullish cross + RSI rising	All major confirmation signals present simultaneously	Highest-confidence breakout trade — full position size justified

THE INDICATOR HIERARCHY — WHAT TO PRIORITIZE

- Price action is always primary. Indicators are secondary confirmation tools.
- Never take a trade against what price is clearly doing because an indicator disagrees.
- Two or more indicators agreeing is significantly more reliable than one indicator alone.
- Indicators on the higher timeframe (daily) matter more than indicators on the lower timeframe (intraday).
- Simpler is almost always better. The most consistently profitable traders use fewer indicators, not more.
- When indicators conflict with each other, default to price action and wait for clarity.

TST CORE PRINCIPLE

Indicators are derived from price — they cannot tell you anything that price itself has not already told you first, just in a different visual format. Their real value is in organizing the information price provides into a form that is easier to act on consistently. Use them as a confirmation layer, not as a primary decision-making system.

Standard interpretations throughout. Context always matters. Full indicator curriculum at topstocktrading.com